UNIQLO (Fast Retailing)

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Outline

- MACRO PART

1. Introduction + 7 Questions *
2. Porter’s Forces + Spider Diagram *
3. Scope: Market situation vs competitors *
4. Relative Position (Cost / Tech)
5. SWOT *
6. Opportunities / Risks *
7. Income Statement Expectations

- MICRO PART

1. Opportunity (from SWOT) + solution
2. Method: Agile *
3. Schedule (Gantt / Roadmap) *
4. Release plan + Expected ROI *
5. Risks & Opportunities *
6. Negociation
7. Diffusion & Innovation (implementation curve)

- CONCLUSION

Macro Part

1.Introduction

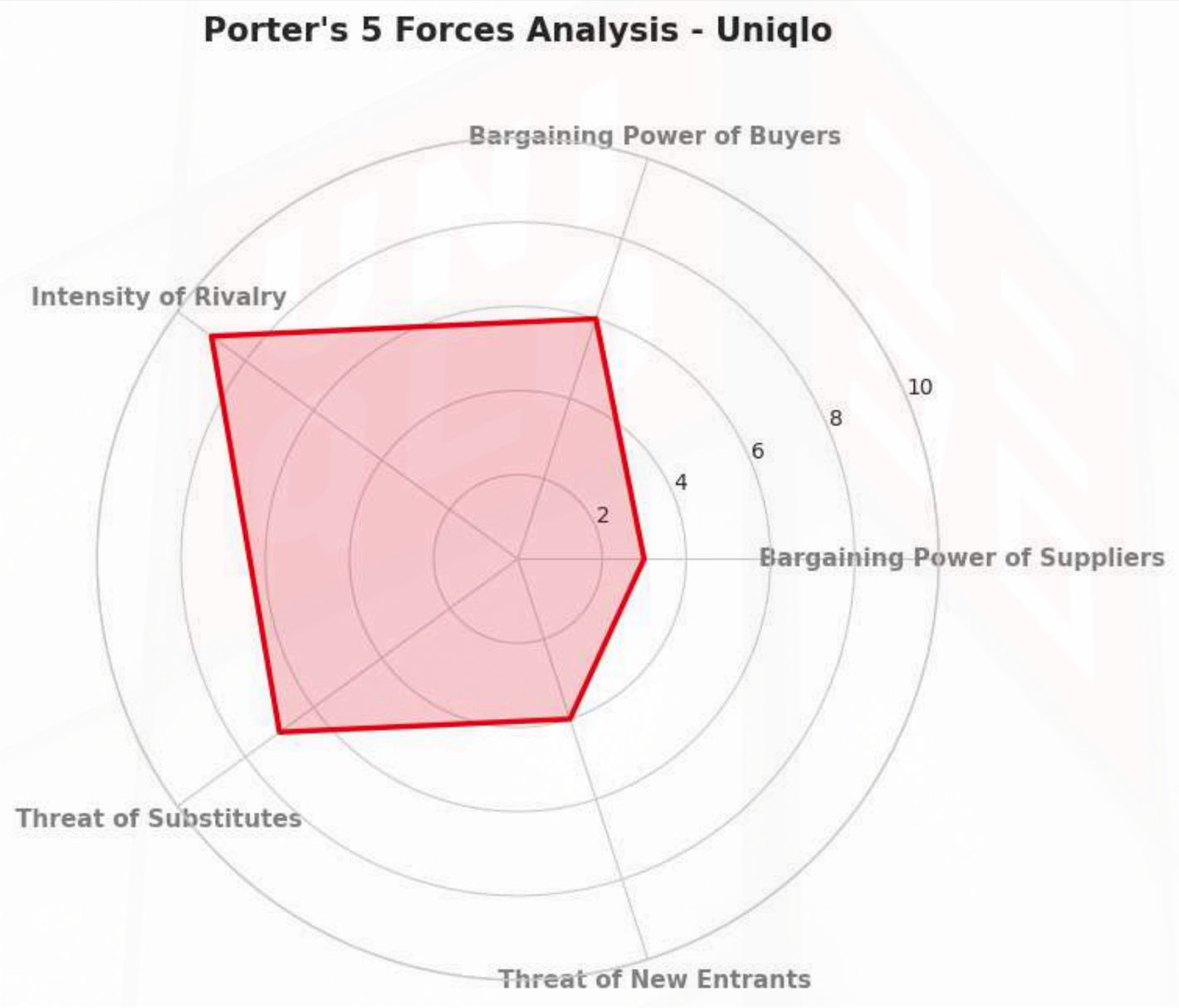
UNIQLO Corporate Overview

7 Key Strategic Questions

WHAT	Global apparel retailer focused on high-quality functional everyday wear under the LifeWear concept
WHY	To provide affordable, durable, and innovative clothing combining technology and simplicity
WHERE	Operates globally under Fast Retailing Group Main markets: Japan, Greater China, Southeast Asia, Europe, North America
WHEN	Founded in 1984 (Hiroshima, Japan) Global expansion accelerated from early 2000s
WHO	Owned by Fast Retailing Co., Ltd. FY2025 consolidated revenue: ≈ €18.46 billion (¥3,400.5 billion) More than 2519 stores worldwide
HOW	SPA model (Specialty Retailer of Private Label Apparel): Design → Production → Logistics → Retail fully integrated
HOW MUCH (2025)	Revenue breakdown (approx.): UNIQLO Japan revenue: ≈ €5.43 billion (¥1,000 billion) UNIQLO International revenue: ≈ €10.37 billion (¥1,910 billion)

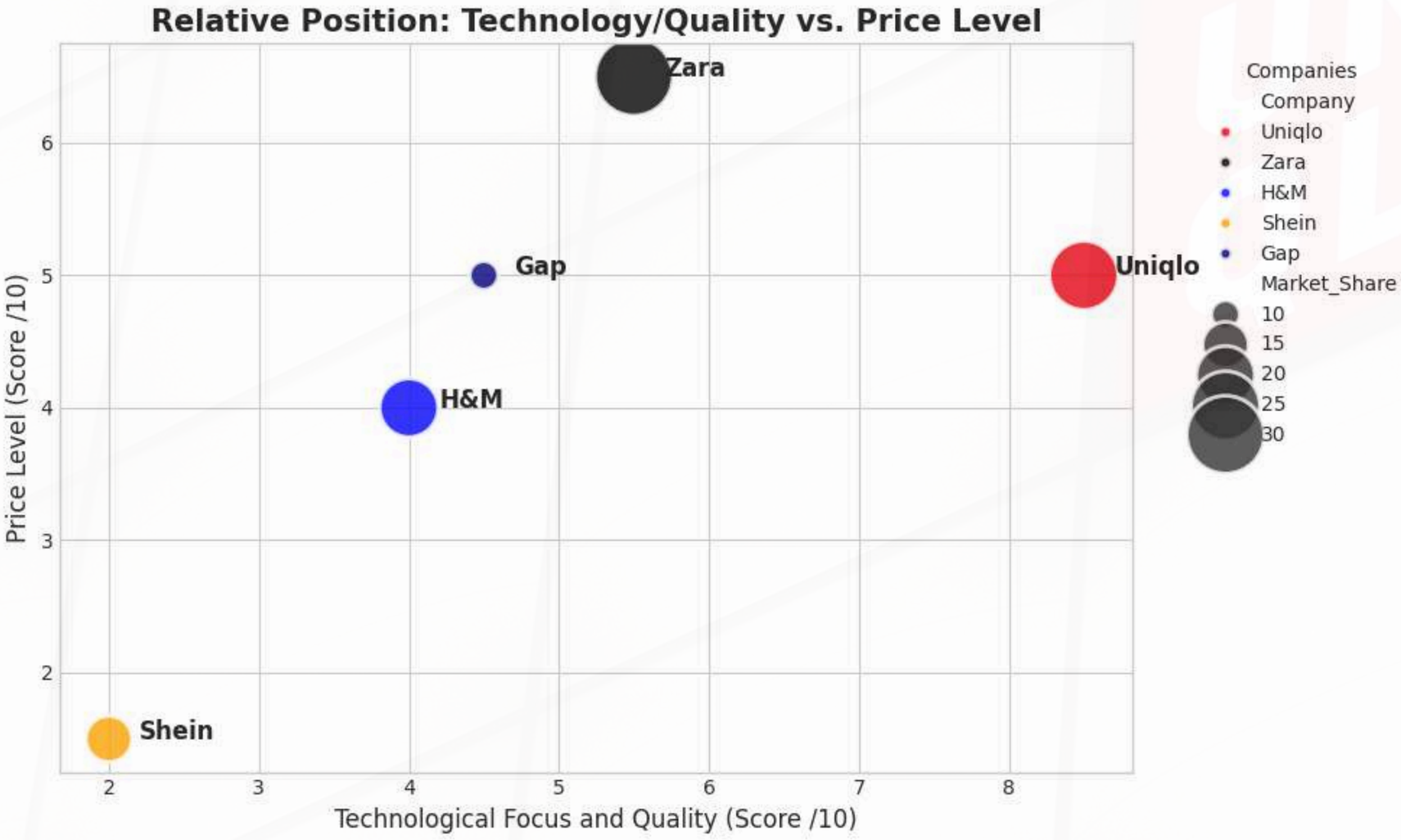
2.PORTER'S 5 FORCE

- **Industry Rivalry (9/10):** Fierce global competition (Zara, H&M) in a saturated market.
- **Threat of Substitutes (7/10):** Growing competition from second-hand platforms (Vinted) and ultra-fast fashion (Shein).
- **Buyer Power (6/10):** Low switching costs, but offset by strong loyalty to "LifeWear" basics.
- **Threat of New Entrants (4/10):** scale + supply-chain + brand building costs
- **Supplier Power (3/10):** Very limited power due to Uniqlo's massive purchasing volumes (integrated SPA model).



Strategic implication：
Compete on **functional differentiation + operational scale**, not trend speed.

3. SCOPE:
Market situation vs competitors



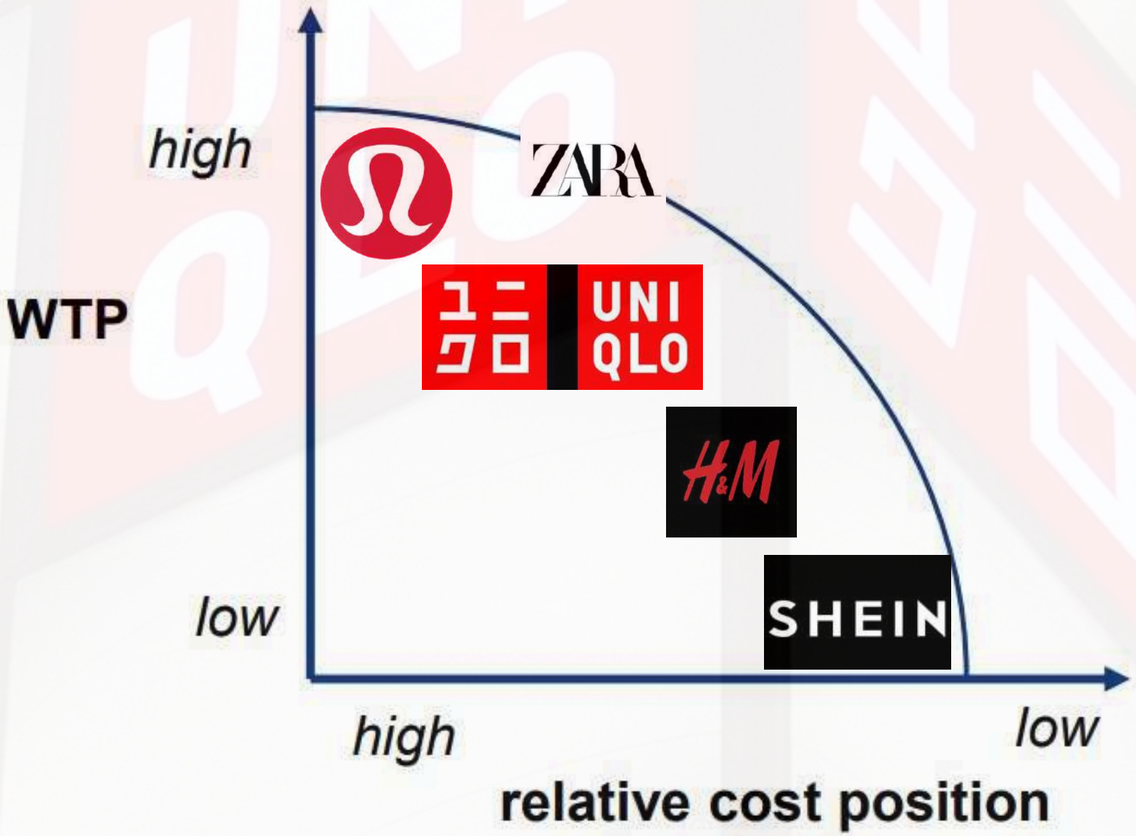
- **Market Scope:**
  - Global apparel retail;
  - >2,500 UNIQLO stores
  - Strong in Asia; scaling in Europe & North America

- **Competitive Landscape:**
  - Direct: Zara, H&M (fast fashion)
  - Value apparel: GAP (basics/value)
  - Indirect: Shein/Temu (ultra-fast online), Vinted (second-hand)

- **Strategic Positioning:**
  - between affordable basics and high-tech R&D (HEATTECH, AIRism)

- **Value Edge:**
  - Unlike trend-driven rivals, Uniqlo focuses on longevity and functionality, offering the highest quality-to-price ratio in the mass market

4. Relative Position (Cost / Tech)



UNIQLO: medium relative cost (SPA scale)
+ medium-high WTP (functional innovation)

S

1. Functional fabric innovation (HEATTECH, AIRism, Ultra Light Down)
2. Long-term R&D partnership with Toray Industries
3. Integrated SPA model: end-to-end control from production to retail
4. Large share of core “Basics” reducing seasonal volatility
5. Operational efficiency (Kaizen culture) across 2,500+ stores

W

1. Home Bias: 75% of profits tied to Japan and Greater China.
2. Brand Gap: Perceived as "Underwear/Utility" rather than "Fashion" in USA/UK.
3. Lead Times: Long tech-development cycles vs Zara’s 2-week "Fast-Fashion".
4. Western Retail Footprint: Lower store density in European/American suburbs

O

1. Circular economy initiatives (RE.UNIQLO & repair programs)
2. US/EU Expansion: in major Western cities(Paris, London, Rome, NYC)
3. Retail technology integration (RFID, smart mirrors, AI sizing)
4. Sustainability transition toward recycled materials

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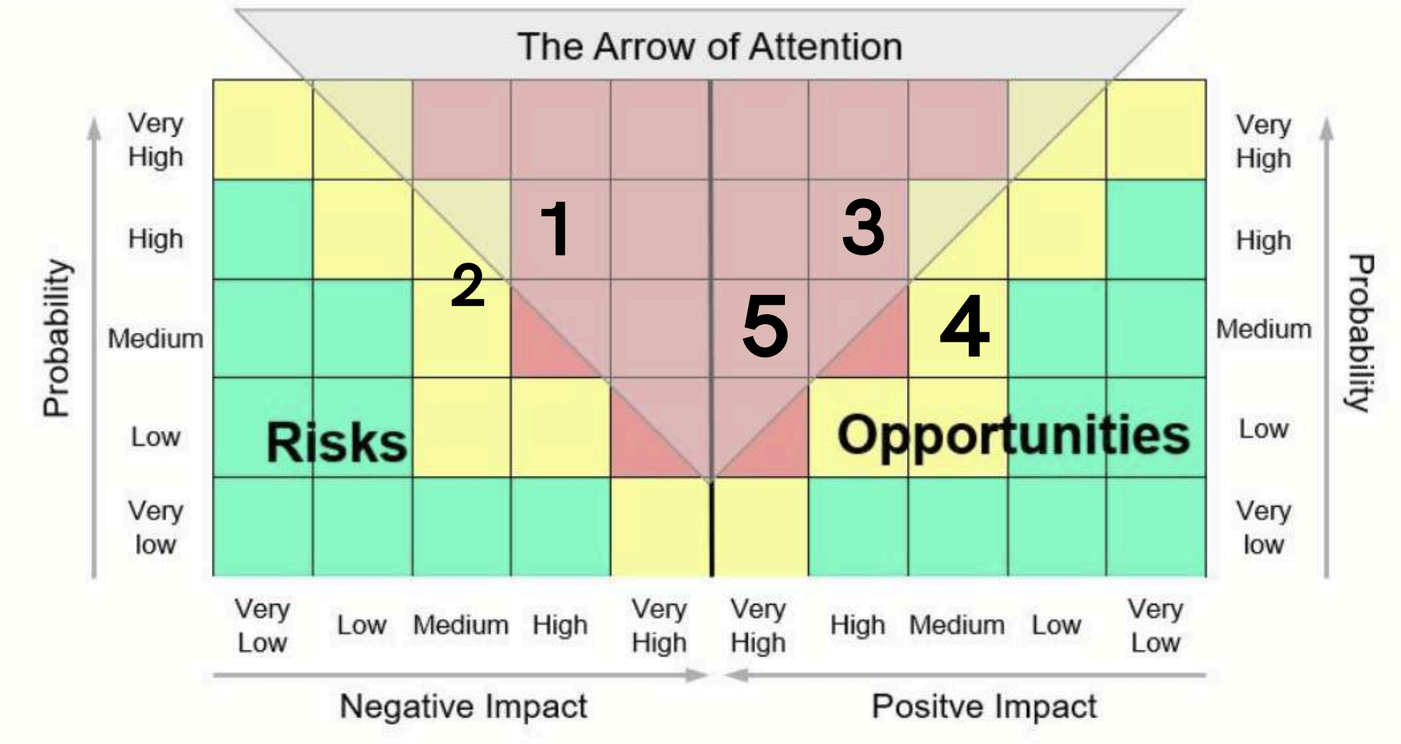
- Ultra-Fast Fashion: Intense price pressure from Shein and Temu.
- Supply Chain Shocks: Geopolitical tensions in the Suez Canal.
- Climate Warming: Warmer winters reducing sales of high-margin winter gear (Heattech).
- Input Inflation: Rising costs of premium cotton and petroleum-based polyester.

6.OPPORTUNITIES & RISKS



Supply Chain Resilience

Raw material sourcing (cotton) + global logistics exposure

Climate Adaptation

Unseasonable weather impacts HEATTECH & winter lines

AI-Powered Personalization

Virtual try-on + data-driven inventory allocation

Circular Economy

RE.UNIQLO repair & recycling ecosystem

Global Expansion

North America & Europe growth to diversify revenue base

7.Income Statement

For the Fiscal Year Ended 31 August 2025

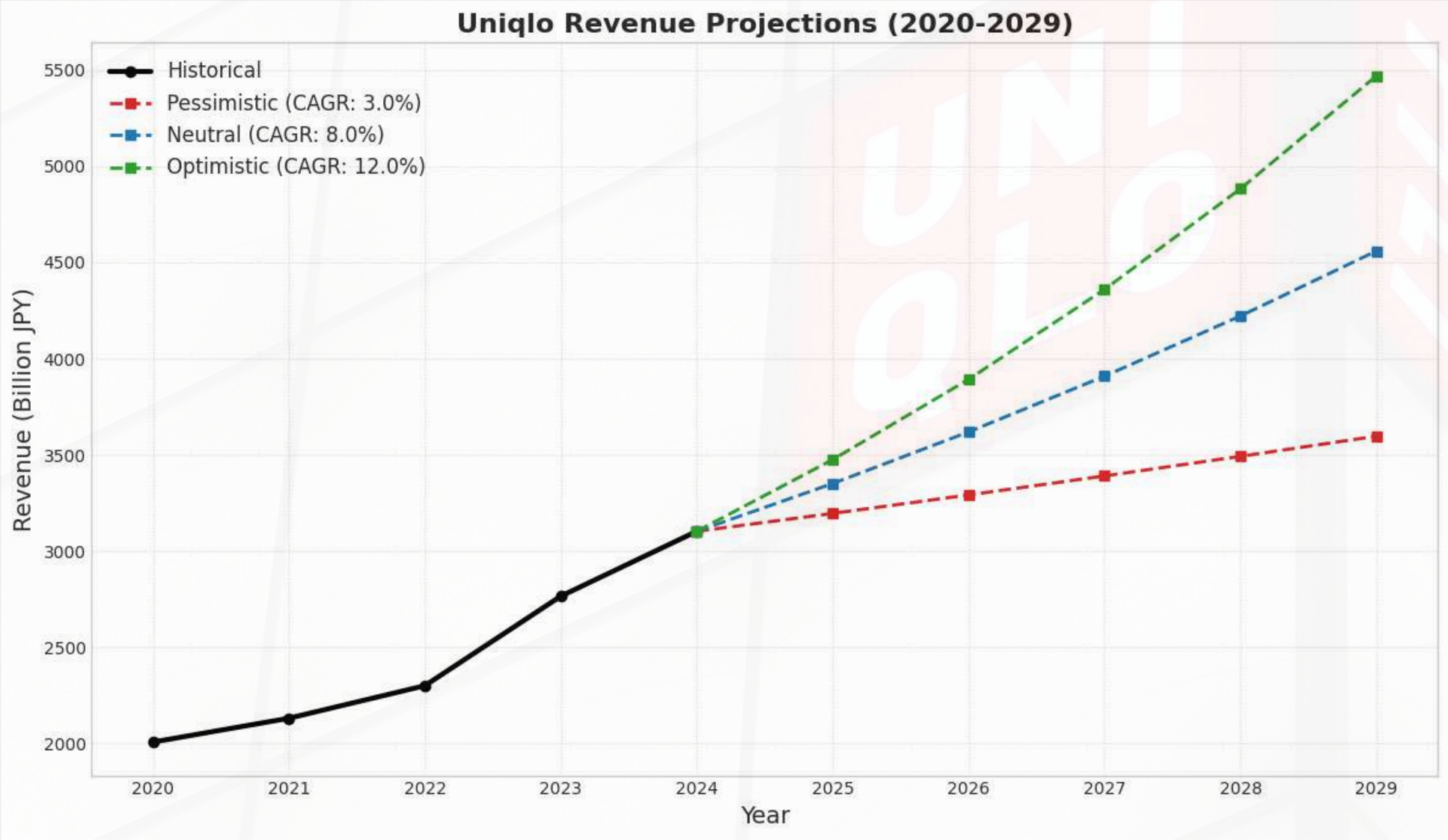
	JPY (million)	EUR (bn)
Revenue		
Total Revenue	**3,400,539**	**18.46**
Expenses		
Cost of Sales	1,571,681	8.53
Selling, General & Administrative	1,277,701	6.93
Total Expenses	**2,849,382**	**15.46**
Gains		
Finance Income	99,143	0.54
Total Gains	**99,143**	**0.54**
Losses		
Finance Costs	12,834	0.07
Income Tax Expense	191,421	1.04
Total Losses	**204,255**	**1.11**
Net Income (Revenue + Gains) – (Expenses + Losses)		
Profit for the Year	**459,153**	**2.49**
Profit Attributable to Owners	**433,009**	**2.35**

(5-Year Comparison)
(Unit: € bn; converted from official JPY)

	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue	11.59	12.50	15.02	16.85	**18.46**
Expenses					
Cost of Sales	5.75	5.94	7.22	7.77	8.53
SG&A	4.44	4.89	5.73	6.45	6.93
Total Expenses	10.19	10.83	12.95	14.22	**15.46**
Gains	0.13	0.67	0.36	0.37	0.54
Losses	0.53	0.74	0.72	0.95	1.11
Net Income	0.95	1.55	1.71	2.14	**2.49**
Profit Attributable to Owners	0.92	1.48	1.61	2.02	**2.35**

Source (official): Fast Retailing "Consolidated Statement of Income (IFRS), Unit: Million Yen"
FX (real-time, ECB): 1 EUR = 184.19 JPY (2026-03-02)
Conversion rule: € bn = (¥ million ÷ 184.19) ÷ 1,000

7.Income Statement Expectations



Micro Part

1.From SWOT to Strategic Solution

Selected Opportunity (O)

- AI-Powered Personalization:
  - **scale virtual try-ons +**
  - **data-driven inventory**
- Related lever:
  - **Retail Tech** (smart mirrors, RFID self-checkout, AI-size recommendation)

Threats Addressed (T)

- **Ultra-fast fashion** price pressure (Shein/Temu)
- **Supply chain shocks + input inflation** (cotton/polyester)

Module 1: AI Size Recommendation (app/web + in-store assisted)

- Output: recommended size + alternative size(s)

Module 2: Virtual Try-on / Smart Mirror (pilot in flagship stores)

- Reduce fit uncertainty before purchase

Module 3: Data-driven inventory loop

- Fit signals + try-on signals → improve allocation and replenishment decisions

Module 4: RFID self-checkout (optional in pilot stores)

- Lower friction in-store, supports tech-enabled journey

2.Method: Agile

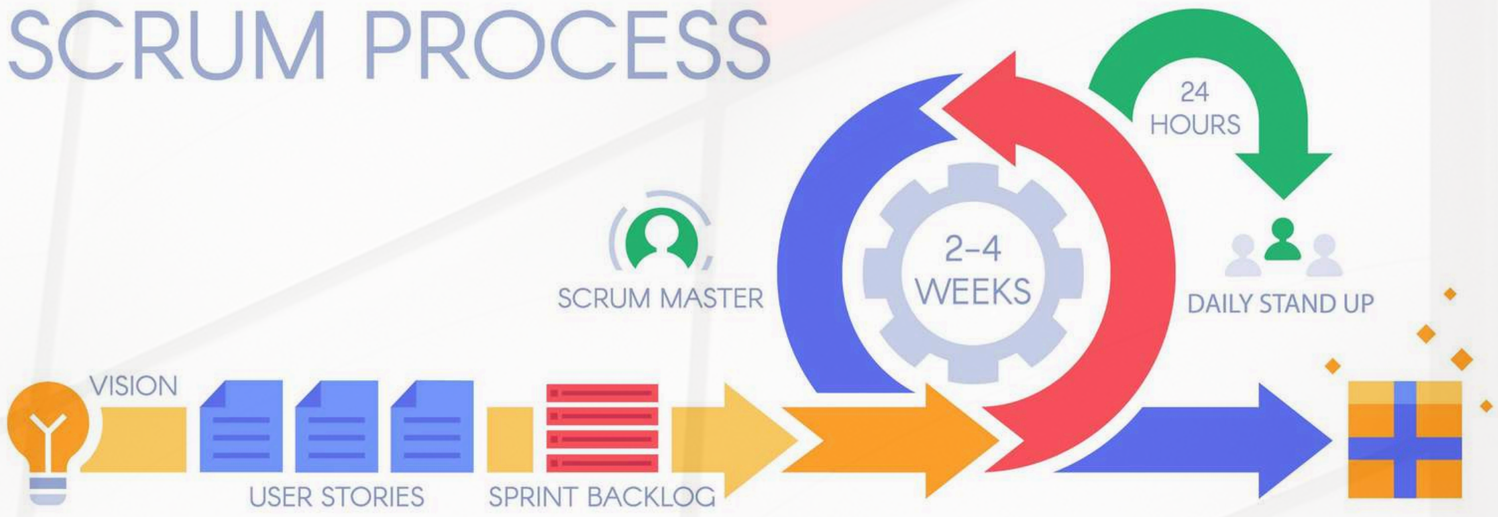
Methodology Choice
Adoption of **Agile Scrum** to manage high digital complexity and integration of FitTech & LifeWear Circular.

Iterative Development
2-week sprints enabling rapid prototyping and continuous AI testing.

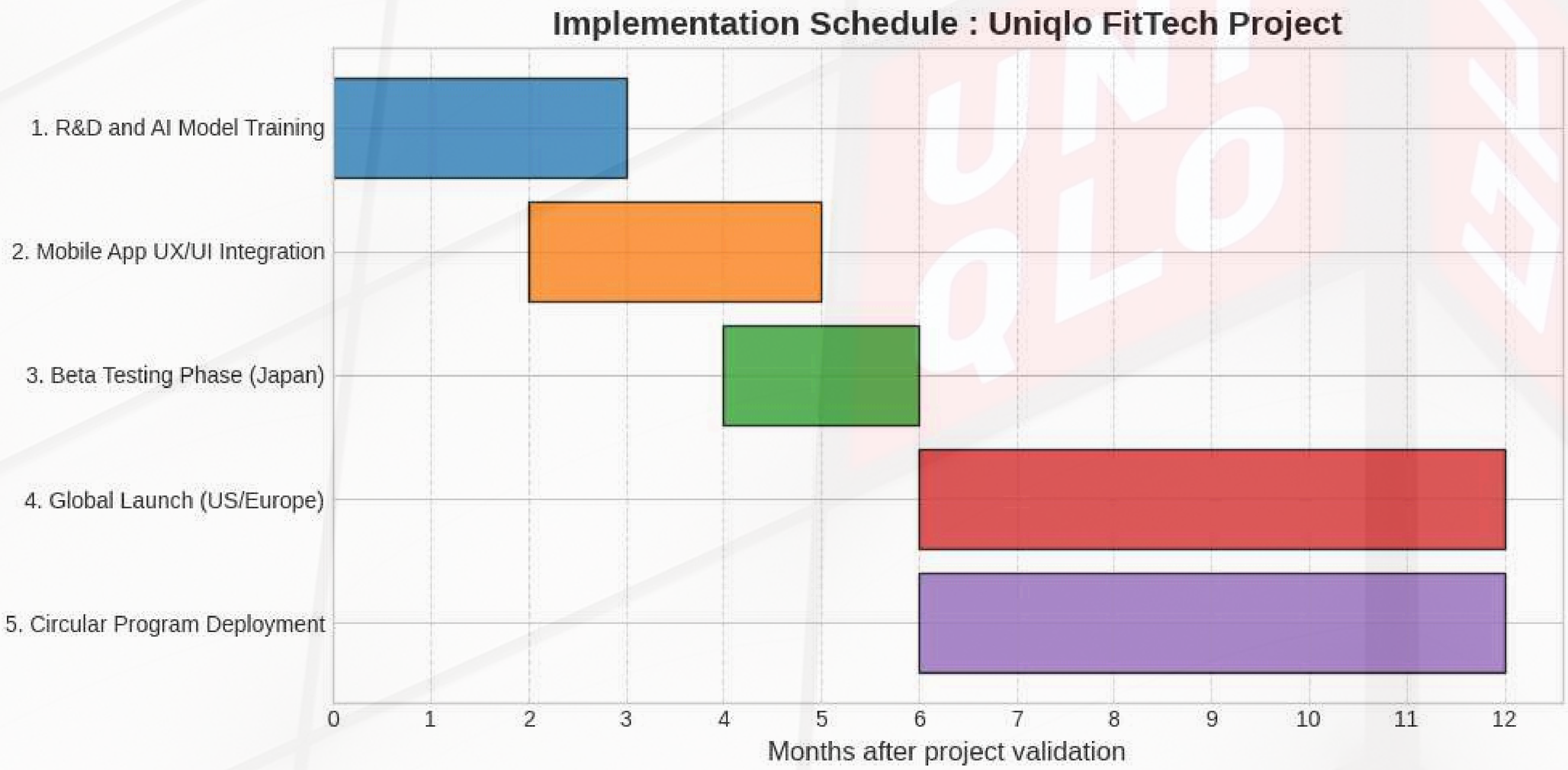
Strategic Flexibility
Real-time pivots based on user feedback and A/B testing during pilots.

Stakeholder Integration
Bi-weekly Sprint Reviews with IT, Marketing, Sustainability.

Risk Minimization
Incremental delivery reduces technical and execution risk.



3.SCHEDULE OF THE PROJECT



4.RELEASE PLAN

Release Phases

- R0 – MVP: AI size recommendation (core) + KPI tracking
- R1 – Japan Pilot: add virtual try-on / smart mirror
- R2 – US/EU Rollout: scale deployment + store enablement
- R3 – Continuous: model retraining + UX improvement + category expansion

Budget Framework

Initial CAPEX envelope: ~¥800m JPY

Cost buckets:

- Digital infrastructure (AI engine + cloud integration)
- Store enablement (pilot hardware + rollout support)
- Training & maintenance

Performance Logic (validated after R1 pilot)

Target KPIs:

- Return-rate reduction
- Conversion uplift
- Operational feasibility in-store

ROI Structure (variable-based)

Benefits drivers:

↑ conversion
↓ fit-related returns
↑ repeat purchase
↑ service efficiency

Cost drivers:

development + integration + hardware + running cost

ROI = (annual incremental profit – annual running cost) / initial investment

Go / No-Go: scale only if pilot KPIs meet thresholds within budget envelope

5.RISK & OPPORTUNITIES (micro)

Critical Implementation Risk: User Friction

- User Friction (Technological Rejection)
  - Inaccurate AI sizing → user frustration & brand distrust
  - Mitigation: Agile sprints + continuous A/B testing before global rollout

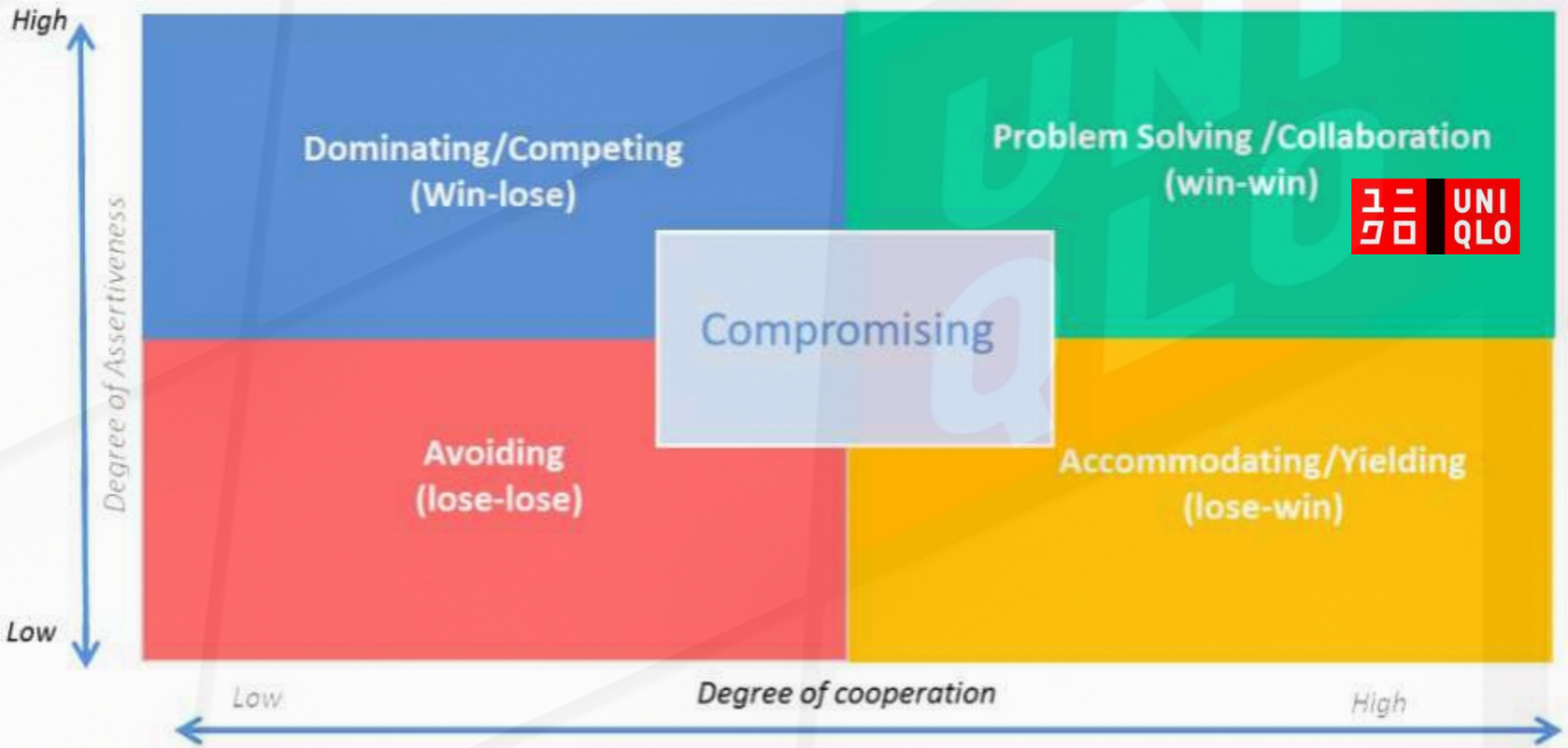
Strategic Value Opportunity: SPA Model 2.0

- Morphological data collection → improved fit design
- Real-time sizing data → production optimization & lower overstock

Brand Ecosystem Synergy

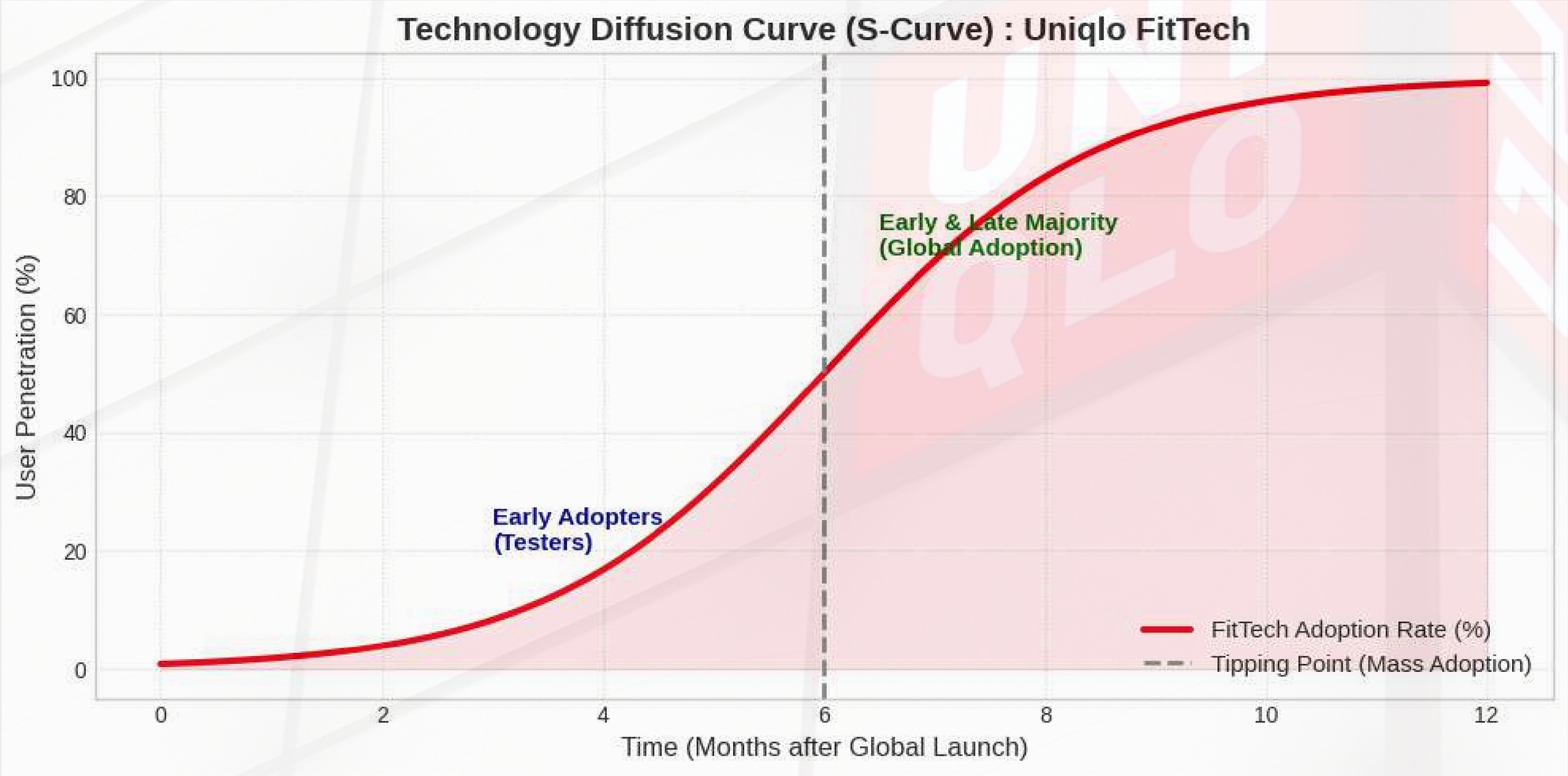
- Customer Retention
  - "Buy-Wear-Recycle" loop (LifeWear Circular)
  - Increased customer lifetime value

6.NEGOCIATIONS

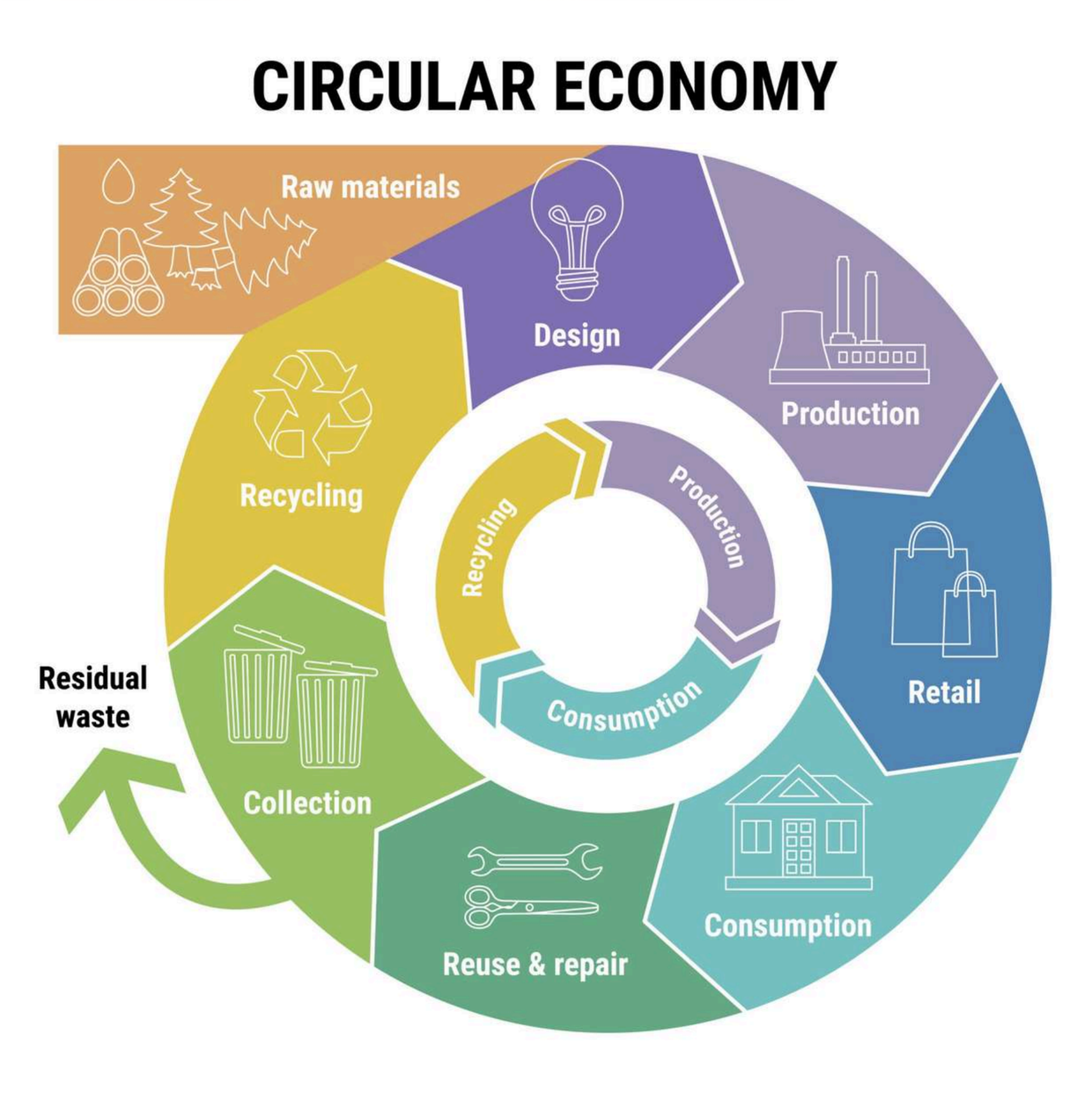


THE SEGMENTED NEGOTIATING BEHAVIOR MATRIX

7.Diffusion of innovation: FitTech implementation curve



PROJECT VISION & KEY DRIVERS (Uniqlo Implementation)



Conclusion

Most people think technology and fashion are two different worlds. We don't see it that way.

By merging the precision of Visual AI with the soul of the Circular Economy, we are not just solving a sizing problem

Implementation = transformation

- PRECISION: a PROMISE
- RESPONSABILITY: circulare future
- IMPACT: 35% ROI, the 20% reduction in returns

→ Efficiency & Sustainability

UNIQLO'S AI AGENTS: REVOLUTIONIZING READY-TO-WEAR RETAIL

THANK YOU for your ATTENTION

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